688825.SH - CXMT / 长鑫科技 | Full investment artifact

Full investment research | Model assumptions and source evidence

Owner valuation update - 15 October 2026

Tom authorizes a gradual re-rating: **6x in Q4 2026, 7x in Q1 2027, 8x in Q2 2027 and 9x from Q3 2027 onward**. The multiple is selected by the ceiling quarter and applied to that quarter plus the next three operating quarters. Q3 2026 retains its earlier assigned multiple. This changes valuation only; all product revenue, costs, operating profit, probability/overlap treatment, attribution, shares, FX and Base scores remain unchanged.

Active Q4 2027 ceiling: CNY 38.130378; -10.00% versus the saved same-quarter ceiling. The active quarter applies 9x forward-four-quarter operating profit.

Ceiling quarter	Owner multiple	Current ceiling
Q4 2026	6x	CNY 26.998547
Q1 2027	7x	CNY 32.467474
Q2 2027	8x	CNY 37.014570
Q3 2027	9x	CNY 40.336784
Q4 2027	9x	CNY 38.130378

This owner instruction supersedes the older constant-multiple convention wherever described in the retained research. Source dates and operating evidence remain at their original dates.

Research date: 12 October 2026 | **Framework:** 8.0 | **Format:** standalone current-state analysis

Status: Full Framework8.0 quarterly artifact; H1 earnings anchor retained, G5 cost evidence incorporated | **Classification:** STRATEGIC DRAM PRODUCER - cyclical qualified capacity

Artifact Base: 40/60 = **67% - Watchlist** | **Portfolio Excel Base:** 67% (October7 override removal reflected; advisory score remains separate)

Snapshot: supplied-workbook price CNY 52.480; model share proxy 67,884.099077M; implied snapshot market capitalization 3,562.558 CNY billions. Price is frozen from the supplied workbook, not a current-market refresh; capitalization uses the modeled denominator.

Active ceiling: Q4 2027 **CNY 38.130378**, pricing Q4 2027-Q3 2028. All15 quarterly ceilings are derived below. The G5 cost increment changes this same-quarter ceiling by **+0.0754%**; the horizon selection is separate.

G5 commercialization supports a small, explicitly probability-weighted manufacturing-cost benefit. The current earnings base and product opportunity remain stronger than a price-only interpretation. A cycle-normalizing model still needs substantial minority deductions and must distinguish product commercialization from profitable volume.

1. Supercycle, supply chain and durable advantage

Domestic DRAM production, technology migration and larger memory demand from servers and edge devices create a substantial market. CXMT now has stronger current product evidence than a static technology-follower thesis allows. Price cycles, process yields, capital intensity and minority ownership still govern shareholder capture; strategic support does not eliminate these constraints.

DRAM fab capacity×good bits per wafer×utilization×realized bit price → memory sales → product GP → recurring investment costs → attributable shareholder economics. HBM and conventional memory can compete for resources, but there is no universal fixed wafer-diversion multiplier applicable to every product and process.

Business / curve	Stage	Evidence and next inflection
DDR / LPDDR5X	Scaled production	Qualified market participation and strong current earnings.
LPDDR6	Initial commercial ramp	Announced mass production, unknown revenue contribution.
HBM	Undisclosed commercial economics	No separate revenue commitment included; the G5 cost-only branch remains within LPDDR.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
2026-27	Server, mobile and PC memory	Quarterly product paths grow from the reported H1 base; normalization is delayed while supply remains tight, without extrapolating peak GM indefinitely.
2028-29	Bits and product coverage grow	DDR and LPDDR can grow volumes even as prices normalize; these effects are separated from margin assumptions.
2030+	Larger global memory wallet	Issuer cites Omdia763.8B USD global DRAM market2030 [E1]. Using planning7CNY/USD gives5346.6B CNY; model2030 revenue is computed below and its implied share is a conditional capture estimate, including no standalone HBM windfall.

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

3. Current earnings and management evidence

H1 revenue150.310077B minus cost22.934481B gives GP127.375596B, or84.7419%. Operating taxes1.287996B, selling0.223124B, administration1.362716B and R&D5.537436B give core OP118.964324B [E1]. Reported operating profit117.144394B includes finance and other items. Consolidated net income107.549591B, parent77.605228B and minority29.944364B make ownership economically material.

September7 listed-company earnings Q&A was reviewed across its published discussion [E2]; management expects continued H2 supply tightness but gives no numerical long-range margin guarantee. July15 IPO discussion was checked for capacity, capital intensity and customer responses [E3]. September7 issuer news confirms LPDDR6 commercial mass production [E4]. HBM timing and Apple procurement were not quantified or confirmed in the earnings Q&A.

September is the first post-listing H1 earnings discussion; no second earlier listed quarterly earnings call exists in the located record. July IPO materials supply supplementary management context, with targeted capacity/customer/cost review rather than a claim that all251 IPO questions were re-audited. No full product-level future guide or HBM economics are available.

4. Local evidence and calibration packet

Historical product and cost bridge has0% total calibration error. Customer-specific capex attribution is unavailable because most sales pass through distribution; revenue is not equated to cloud capital spending. IPO proceeds66.606672B are funding, not orders for each equipment holding and not CXMT sales. Qualification and actual spending determine later supply.

5. Summing thesis score

Category	Points / maximum	Evidence
Core thesis	15/20	Scaled domestic DRAM platform and new-product progress.
Inflection / cycle	8/10	Strong actual economics; cycle dependence persists.
Forward TAM	9/10	Large server/edge memory opportunity and LPDDR6 commercial evidence.
Catalysts	4/5	Process qualification, product mix and financed projects.
Macro / policy	7/10	Domestic support with equipment and trade restrictions.
Alpha / evidence	2/5	New ownership/product detail improves analysis; market follows closely.
Risk deductions	-5	Five separate classes.

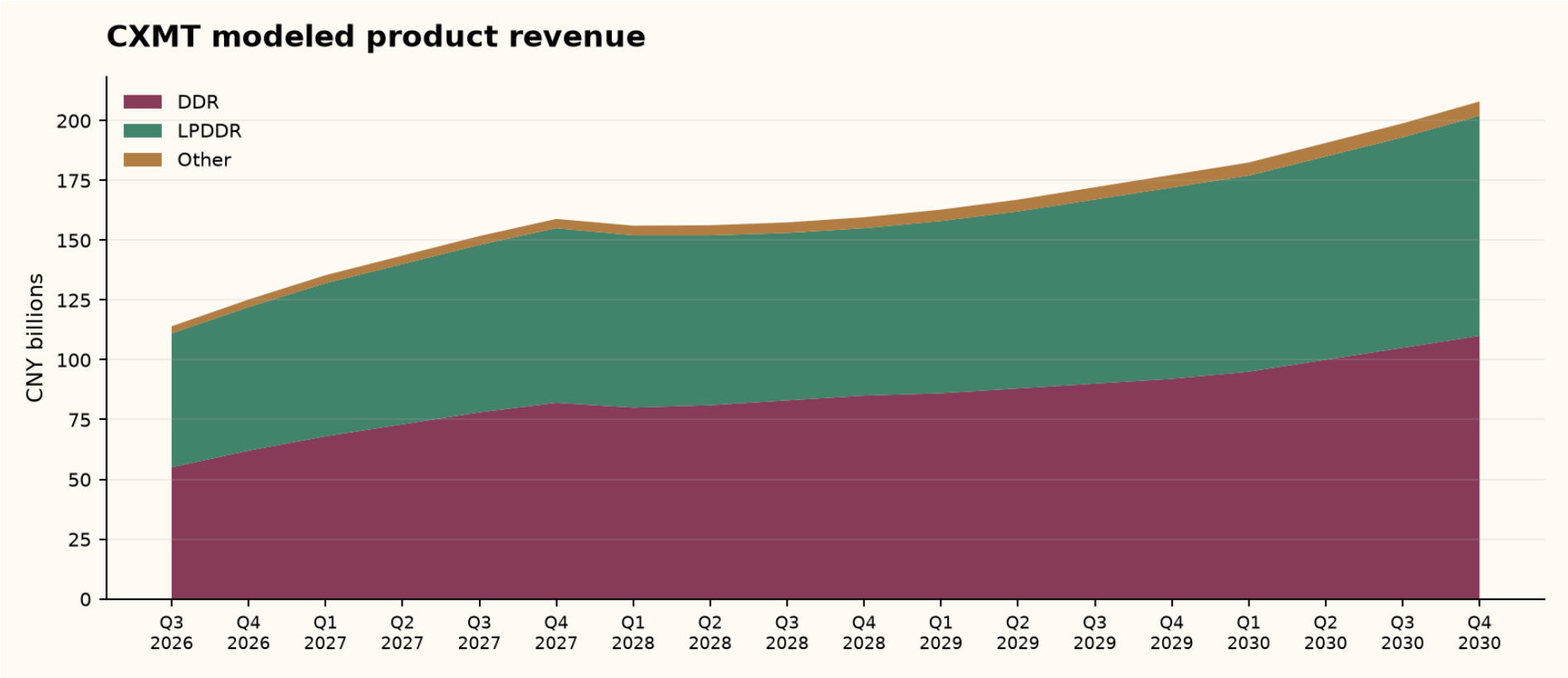
Sum: 40/60 × 100 = 66.666667%, conventionally rounded to 67%. This advisory thesis score does not replace any portfolio Base override. The separate risk classes below total the displayed deduction; holding status and classification do not waive that deduction.

6. Revenue sources, capture and product margins

Three disclosed product revenue/cost groups anchor the forecast exactly. H1 DDR69.471820B-8.091416B costs; LPDDR78.191165B-13.602387B; other2.647092B-1.240678B. Product GP sums to127.375596B. Forecasts separate bit volume/mix and pricing conceptually: each revenue factor combines these effects, and each product GM path exposes normalization. No fixed30% cost disadvantage, numeric HBM yield or unavoidable three-generation gap is asserted without current primary support.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
DDR	H1 revenue69.471820B; costs8.091416B	Quarterly demand factors encode bits, share and ASP;2030 sales410B	GM87% initial to50% by2030.
LPDDR	H1 revenue78.191165B; costs13.602387B	LPDDR6 upgrades included within mobile/edge sales;2030 total347B	GM82% initial to45%, reflecting normal-cycle pricing and mix.
Other	H1 revenue2.647092B; costs1.240678B	Small residual growth, no separately invented HBM contract	45% assumed GM.

Confidence: reported historical totals are HIGH. Source-based forward extrapolations are MEDIUM only where the cited source sizes the relevant period; other product allocations, future capture and margin assumptions are LOW. A source for the historical anchor does not make an unsourced future factor management guidance. The detailed factors below are the single modeled base case, with uncertain assumptions exposed for review.



Modeled revenue by product. Analyst forecast; no new sales added by the G5 cost branch.

Quarter	DDR	LPDDR	Other
Q3 2026	55.000	56.000	3.000
Q4 2026	62.000	60.000	3.176
Q1 2027	68.000	64.000	3.353
Q2 2027	73.000	67.000	3.529
Q3 2027	78.000	70.000	3.706
Q4 2027	82.000	73.000	3.882
Q1 2028	80.000	72.000	4.059
Q2 2028	81.000	71.000	4.235

Quarter	DDR	LPDDR	Other
Q3 2028	83.000	70.000	4.412
Q4 2028	85.000	70.000	4.588
Q1 2029	86.000	72.000	4.765
Q2 2029	88.000	74.000	4.941
Q3 2029	90.000	77.000	5.118
Q4 2029	92.000	80.000	5.294
Q1 2030	95.000	82.000	5.471
Q2 2030	100.000	85.000	5.647
Q3 2030	105.000	88.000	5.824
Q4 2030	110.000	92.000	6.000

V1. DDR products

Sources: E1/E2/E3; analyst bits×ASP path. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	69.471820	0.791688	55.000	87.0000%	47.850000
Q4 2026	69.471820	0.892448	62.000	87.0000%	53.940000
Q1 2027	69.471820	0.978814	68.000	85.0000%	57.800000
Q2 2027	69.471820	1.050786	73.000	84.0000%	61.320000
Q3 2027	69.471820	1.122757	78.000	82.0000%	63.960000
Q4 2027	69.471820	1.180335	82.000	79.0000%	64.780000
Q1 2028	69.471820	1.151546	80.000	75.0000%	60.000000
Q2 2028	69.471820	1.165940	81.000	70.0000%	56.700000
Q3 2028	69.471820	1.194729	83.000	66.0000%	54.780000

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q4 2028	69.471820	1.223518	85.000	62.0000%	52.700000
Q1 2029	69.471820	1.237912	86.000	59.0000%	50.740000
Q2 2029	69.471820	1.266701	88.000	56.0000%	49.280000
Q3 2029	69.471820	1.295489	90.000	54.0000%	48.600000
Q4 2029	69.471820	1.324278	92.000	52.0000%	47.840000
Q1 2030	69.471820	1.367461	95.000	51.0000%	48.450000
Q2 2030	69.471820	1.439433	100.000	50.0000%	50.000000
Q3 2030	69.471820	1.511404	105.000	50.0000%	52.500000
Q4 2030	69.471820	1.583376	110.000	50.0000%	55.000000

V2. LPDDR products including LPDDR6

Sources: E1/E2/E4/E6; analyst mix/adoption plus G5 probability-weighted cost bridge in section12. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	78.191165	0.716193	56.000	82.0000%	45.920000
Q4 2026	78.191165	0.767350	60.000	82.0169%	49.210125
Q1 2027	78.191165	0.818507	64.000	80.0375%	51.224000
Q2 2027	78.191165	0.856874	67.000	79.0591%	52.969572
Q3 2027	78.191165	0.895242	70.000	77.0863%	53.960375
Q4 2027	78.191165	0.933609	73.000	74.0975%	54.091175
Q1 2028	78.191165	0.920820	72.000	70.1125%	50.481000
Q2 2028	78.191165	0.908031	71.000	65.1313%	46.243188
Q3 2028	78.191165	0.895242	70.000	60.1500%	42.105000
Q4 2028	78.191165	0.895242	70.000	56.1650%	39.315500

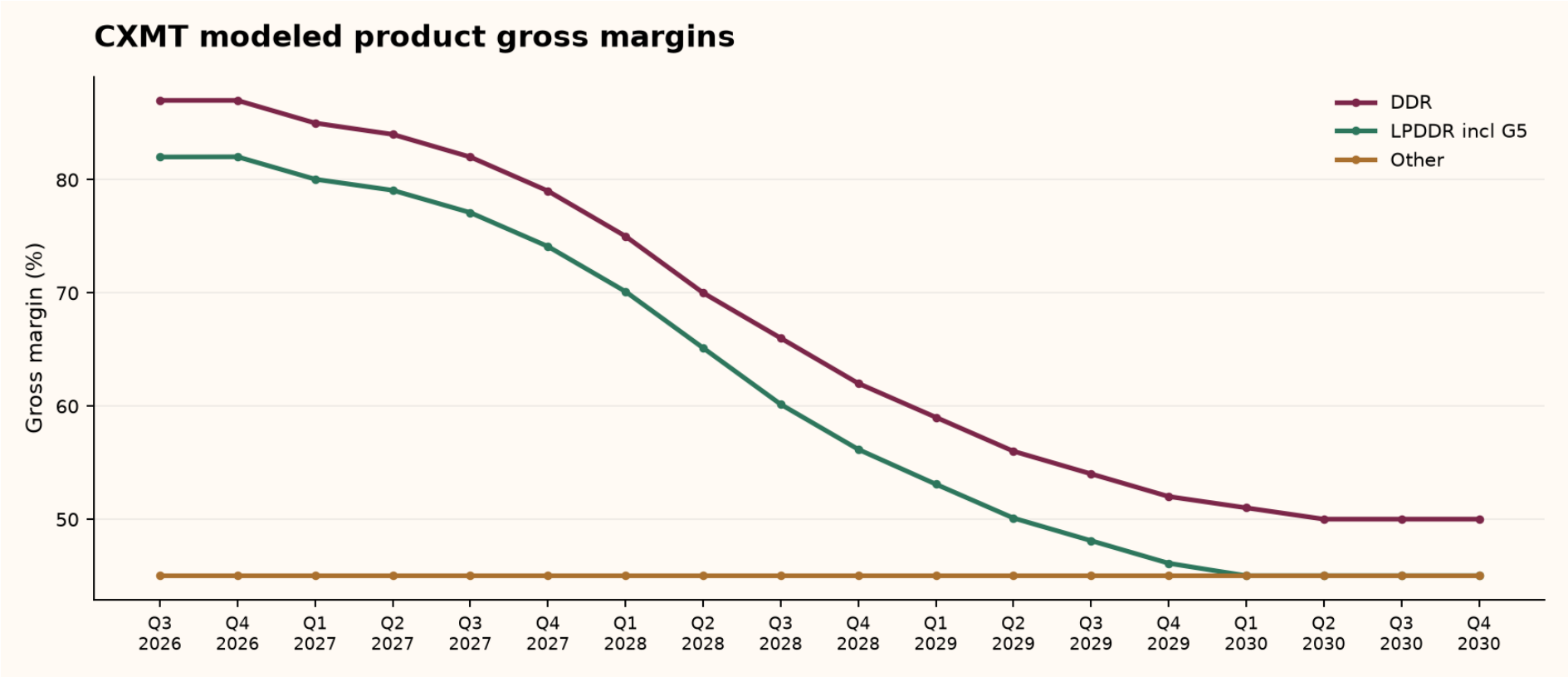
Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q1 2029	78.191165	0.920820	72.000	53.0881%	38.223450
Q2 2029	78.191165	0.946398	74.000	50.0938%	37.069375
Q3 2029	78.191165	0.984766	77.000	48.0975%	37.035075
Q4 2029	78.191165	1.023133	80.000	46.1013%	36.881000
Q1 2030	78.191165	1.048712	82.000	45.0000%	36.900000
Q2 2030	78.191165	1.087079	85.000	45.0000%	38.250000
Q3 2030	78.191165	1.125447	88.000	45.0000%	39.600000
Q4 2030	78.191165	1.176604	92.000	45.0000%	41.400000

V3. Other products and activities

Sources: E1; analyst residual. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	2.647092	1.133319	3.000	45.0000%	1.350000
Q4 2026	2.647092	1.199985	3.176	45.0000%	1.429412
Q1 2027	2.647092	1.266651	3.353	45.0000%	1.508824
Q2 2027	2.647092	1.333317	3.529	45.0000%	1.588235
Q3 2027	2.647092	1.399983	3.706	45.0000%	1.667647
Q4 2027	2.647092	1.466648	3.882	45.0000%	1.747059
Q1 2028	2.647092	1.533314	4.059	45.0000%	1.826471
Q2 2028	2.647092	1.599980	4.235	45.0000%	1.905882
Q3 2028	2.647092	1.666646	4.412	45.0000%	1.985294
Q4 2028	2.647092	1.733312	4.588	45.0000%	2.064706
Q1 2029	2.647092	1.799978	4.765	45.0000%	2.144118

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q2 2029	2.647092	1.866643	4.941	45.0000%	2.223529
Q3 2029	2.647092	1.933309	5.118	45.0000%	2.302941
Q4 2029	2.647092	1.999975	5.294	45.0000%	2.382353
Q1 2030	2.647092	2.066641	5.471	45.0000%	2.461765
Q2 2030	2.647092	2.133307	5.647	45.0000%	2.541176
Q3 2030	2.647092	2.199973	5.824	45.0000%	2.620588
Q4 2030	2.647092	2.266639	6.000	45.0000%	2.700000



Modeled product gross margins. LPDDR includes the small expected G5 cost saving; exact quarterly values appear in the preceding product tables.

7. Operating-cost bridge and quarterly operating model

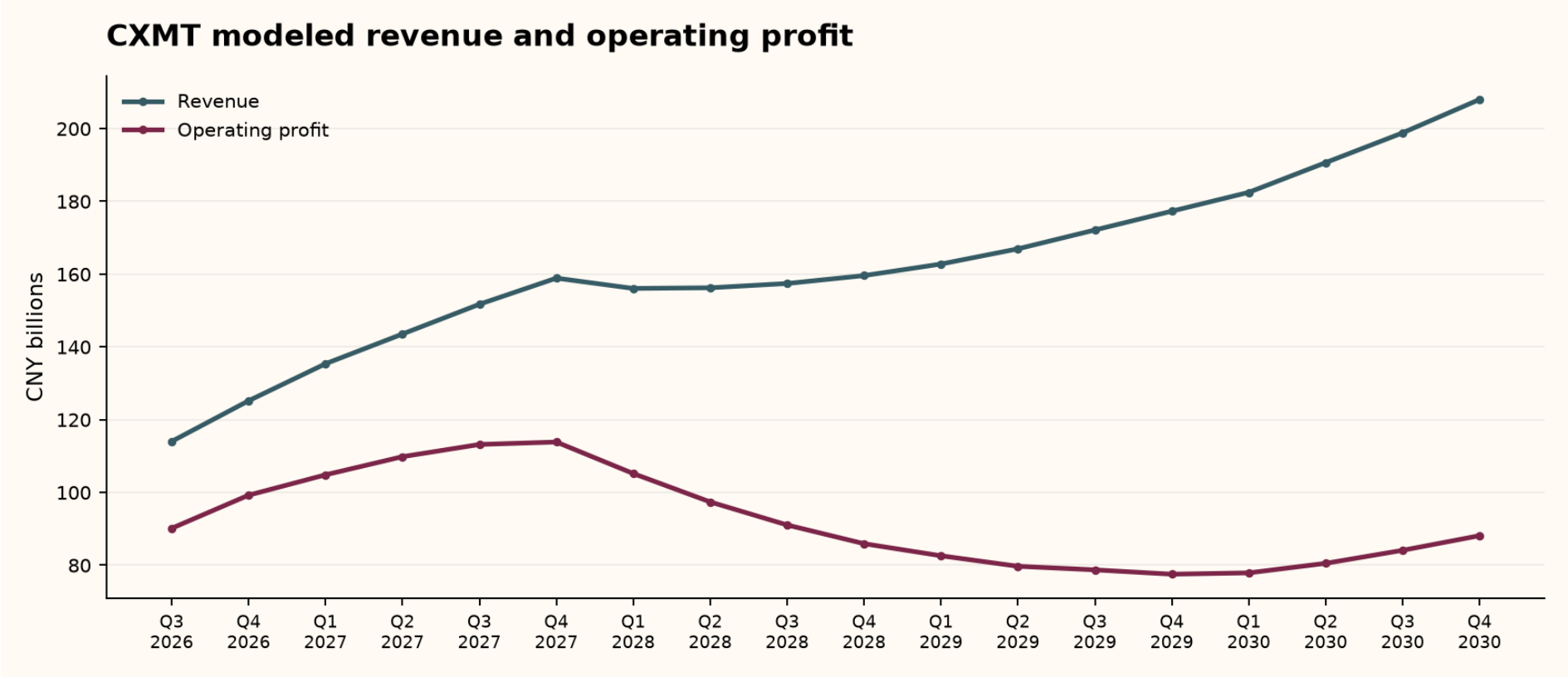
Retained quarterly core operating costs5-11B plus the separately quantified probability-weighted G5 qualification/R&D expense; operating taxes, R&D, selling and administration remain expensed. Reported gross margins already include manufacturing depreciation: no second depreciation deduction is made. No operating subsidy or investment gain is capitalized as recurring product profit.

Profit basis: Core operating profit after recurring R&D, compensation, operating taxes and depreciation in costs; adjusted to a disclosed earnings-attribution proxy for minorities. Amounts below are CNY billions.

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q3 2026	Model	114.000	95.120000	4.3860%	5.000000	79.0526%	90.120000	Current shortage	LOW model
Q4 2026	Model	125.176	104.579537	4.2781%	5.355191	79.2676%	99.224346	G5 cost branch	LOW model
Q1 2027	Model	135.353	110.532824	4.2191%	5.710682	77.4436%	104.822141	G5 cost branch	LOW model
Q2 2027	Model	143.529	115.877807	4.2266%	6.066361	76.5080%	109.811446	G5 cost branch	LOW model
Q3 2027	Model	151.706	119.588022	4.2334%	6.422265	74.5955%	113.165757	G5 cost branch	LOW model
Q4 2027	Model	158.882	120.618234	4.2646%	6.775656	71.6521%	113.842578	G5 cost branch	LOW model
Q1 2028	Model	156.059	112.307471	4.5678%	7.128447	67.3970%	105.179024	G5 cost branch	LOW model
Q2 2028	Model	156.235	104.849070	4.7884%	7.481238	62.3213%	97.367832	G5 cost branch	LOW model
Q3 2028	Model	157.412	98.870294	4.9768%	7.834029	57.8332%	91.036265	G5 cost branch	LOW model
Q4 2028	Model	159.588	94.080206	5.1301%	8.186971	53.8218%	85.893235	G5 cost branch	LOW model
Q1 2029	Model	162.765	91.107568	5.2437%	8.534812	50.7314%	82.572756	G5 cost branch	LOW model
Q2 2029	Model	166.941	88.572904	5.3240%	8.887903	47.7324%	79.685001	G5 cost branch	LOW model
Q3 2029	Model	172.118	87.938016	5.3690%	9.241069	45.7228%	78.696947	G5 cost branch	LOW model
Q4 2029	Model	177.294	87.103353	5.4115%	9.594235	43.7178%	77.509118	G5 cost branch	LOW model
Q1 2030	Model	182.471	87.811765	5.4481%	9.941176	42.6757%	77.870588	Retained normalization	LOW model
Q2 2030	Model	190.647	90.791176	5.3996%	10.294118	42.2231%	80.497059	Retained normalization	LOW model
Q3 2030	Model	198.824	94.720588	5.3550%	10.647059	42.2855%	84.073529	Retained normalization	LOW model

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q4 2030	Model	208.000	99.100000	5.2885%	11.000000	42.3558%	88.100000	Retained normalization	LOW model

OP = sum of product GP/contribution - explicit operating costs. OP margin = OP ÷ revenue. Displayed numbers are rounded for reading; the workbook calculates from unrounded inputs. Guidance assigned to a future quarter retains Model status because guidance is not an actual result.



Consolidated revenue and fully expensed core operating profit. Numeric inputs appear immediately above.

Parent economic operating-profit bridge

H1 parent/consolidated net-income ratio=72.157622101%. Use this as the initial attribution proxy, fading to68% as minority-owned capacity may expand. It is not a single legal ownership percentage or a precise subsidiary OP allocation. Parent costs are not separately reallocated because product-level subsidiary operating data are unavailable; zero in that bridge means no separate reallocation, not no parent overhead. The consolidated expense line includes group costs. Changxin Jidian31.72% ownership with control illustrates why full consolidation is not full economic ownership.

Quarter	Consolidated OP	Parent costs already included	Subsidiary attribution proxy	Attributable OP
Q3 2026	90.120000	0.000000	72.157622%	65.028449
Q4 2026	99.224346	0.000000	71.913056%	71.355259
Q1 2027	104.822141	0.000000	71.668490%	75.124446
Q2 2027	109.811446	0.000000	71.423924%	78.431644
Q3 2027	113.165757	0.000000	71.179358%	80.550660
Q4 2027	113.842578	0.000000	70.934792%	80.753996
Q1 2028	105.179024	0.000000	70.690226%	74.351290
Q2 2028	97.367832	0.000000	70.445660%	68.591412
Q3 2028	91.036265	0.000000	70.201094%	63.908454
Q4 2028	85.893235	0.000000	69.956528%	60.087925
Q1 2029	82.572756	0.000000	69.711962%	57.563088
Q2 2029	79.685001	0.000000	69.467396%	55.355096
Q3 2029	78.696947	0.000000	69.222830%	54.476254
Q4 2029	77.509118	0.000000	68.978264%	53.464444
Q1 2030	77.870588	0.000000	68.733698%	53.523335
Q2 2030	80.497059	0.000000	68.489132%	55.131737
Q3 2030	84.073529	0.000000	68.244566%	57.375615
Q4 2030	88.100000	0.000000	68.000000%	59.908000

Attributable OP proxy = (consolidated OP + parent-only costs) × subsidiary ownership - parent-only costs. The following ceilings use this proxy. The preceding operating table and annual cross-check show consolidated OP.

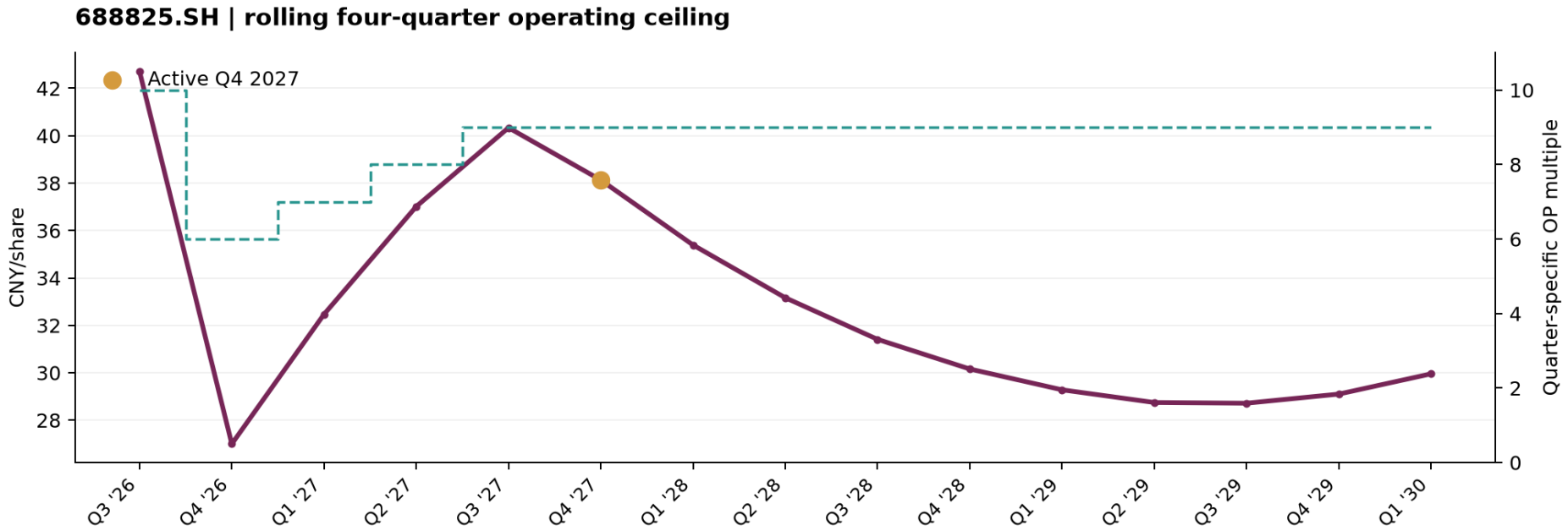
8. Multiple, shares and recognition convention

Apply the October 15 owner schedule: 6x in Q4 2026, 7x in Q1 2027, 8x in Q2 2027 and 9x from Q3 2027 onward. The prior 10x applies only to the untouched Q3 2026 row. This re-rating is an owner valuation instruction; the operating earnings base is unchanged. No after-tax EPS multiple is substituted.

Use67,884.099077M issued shares after completed overallotment, constant in the base path. Lockup expiry changes tradable supply, not the total denominator; do not count it as a new share issuance.

The valuation denominator is the ceiling quarter's diluted-share proxy. It is not a historical EPS weighted-average assumption disguised as a fully known future capitalization. Unit factor: 1000; this converts the model units to CNY per share. No cash balance, enterprise-value adjustment or after-tax earnings substitution is added to the operating-profit ceiling.

9. Complete rolling four-quarter ceiling derivation



688825.SH current ceiling path and owner-approved gradual operating-profit re-rating. Gold marks active Q4 2027. Q3 2026 retains its prior multiple; operating forecasts and share basis are unchanged.

Ceiling quarter	Exact earnings window	Forward4Q attributable OP	Multiple	Shares M	Ceiling CNY	Key inflection
Q3 2026	Q3 2026 through Q2 2027	289.939798	10x	67,884.099077	42.711003	G5 cost branch plus retained normalization
Q4 2026	Q4 2026 through Q3 2027	305.462009	6x	67,884.099077	26.998547	G5 cost branch plus retained normalization

Ceiling quarter	Exact earnings window	Forward4Q attributable OP	Multiple	Shares M	Ceiling CNY	Key inflection
Q1 2027	Q1 2027 through Q4 2027	314.860745	7x	67,884.099077	32.467474	G5 cost branch plus retained normalization
Q2 2027	Q2 2027 through Q1 2028	314.087589	8x	67,884.099077	37.014570	G5 cost branch plus retained normalization
Q3 2027	Q3 2027 through Q2 2028	304.247357	9x	67,884.099077	40.336784	G5 cost branch plus retained normalization
Q4 2027	Q4 2027 through Q3 2028	287.605151	9x	67,884.099077	38.130378	G5 cost branch plus retained normalization
Q1 2028	Q1 2028 through Q4 2028	266.939080	9x	67,884.099077	35.390493	G5 cost branch plus retained normalization
Q2 2028	Q2 2028 through Q1 2029	250.150879	9x	67,884.099077	33.164731	G5 cost branch plus retained normalization
Q3 2028	Q3 2028 through Q2 2029	236.914563	9x	67,884.099077	31.409875	G5 cost branch plus retained normalization
Q4 2028	Q4 2028 through Q3 2029	227.482363	9x	67,884.099077	30.159364	G5 cost branch plus retained normalization
Q1 2029	Q1 2029 through Q4 2029	220.858882	9x	67,884.099077	29.281230	G5 cost branch plus retained normalization
Q2 2029	Q2 2029 through Q1 2030	216.819128	9x	67,884.099077	28.745644	G5 cost branch plus retained normalization
Q3 2029	Q3 2029 through Q2 2030	216.595770	9x	67,884.099077	28.716031	G5 cost branch plus retained normalization
Q4 2029	Q4 2029 through Q3 2030	219.495131	9x	67,884.099077	29.100426	G5 cost branch plus retained normalization
Q1 2030	Q1 2030 through Q4 2030	225.938687	9x	67,884.099077	29.954705	G5 cost branch plus retained normalization

- **Q3 2026:** (65.028449 + 71.355259 + 75.124446 + 78.431644) x 10 x1000 /67,884.099077 = **42.711003 CNY/share**. Window: Q3 2026 through Q2 2027.
- **Q4 2026:** (71.355259 + 75.124446 + 78.431644 + 80.550660) x 6 x1000 /67,884.099077 = **26.998547 CNY/share**. Window: Q4 2026 through Q3 2027.
- **Q1 2027:** (75.124446 + 78.431644 + 80.550660 + 80.753996) x 7 x1000 /67,884.099077 = **32.467474 CNY/share**. Window: Q1 2027 through Q4 2027.
- **Q2 2027:** (78.431644 + 80.550660 + 80.753996 + 74.351290) x 8 x1000 /67,884.099077 = **37.014570 CNY/share**. Window: Q2 2027 through Q1 2028.

- **Q3 2027:** (80.550660 + 80.753996 + 74.351290 + 68.591412) x 9 x1000 /67,884.099077 = **40.336784 CNY/share**. Window: Q3 2027 through Q2 2028.
- **Q4 2027:** (80.753996 + 74.351290 + 68.591412 + 63.908454) x 9 x1000 /67,884.099077 = **38.130378 CNY/share**. Window: Q4 2027 through Q3 2028.
- **Q1 2028:** (74.351290 + 68.591412 + 63.908454 + 60.087925) x 9 x1000 /67,884.099077 = **35.390493 CNY/share**. Window: Q1 2028 through Q4 2028.
- **Q2 2028:** (68.591412 + 63.908454 + 60.087925 + 57.563088) x 9 x1000 /67,884.099077 = **33.164731 CNY/share**. Window: Q2 2028 through Q1 2029.
- **Q3 2028:** (63.908454 + 60.087925 + 57.563088 + 55.355096) x 9 x1000 /67,884.099077 = **31.409875 CNY/share**. Window: Q3 2028 through Q2 2029.
- **Q4 2028:** (60.087925 + 57.563088 + 55.355096 + 54.476254) x 9 x1000 /67,884.099077 = **30.159364 CNY/share**. Window: Q4 2028 through Q3 2029.
- **Q1 2029:** (57.563088 + 55.355096 + 54.476254 + 53.464444) x 9 x1000 /67,884.099077 = **29.281230 CNY/share**. Window: Q1 2029 through Q4 2029.
- **Q2 2029:** (55.355096 + 54.476254 + 53.464444 + 53.523335) x 9 x1000 /67,884.099077 = **28.745644 CNY/share**. Window: Q2 2029 through Q1 2030.
- **Q3 2029:** (54.476254 + 53.464444 + 53.523335 + 55.131737) x 9 x1000 /67,884.099077 = **28.716031 CNY/share**. Window: Q3 2029 through Q2 2030.
- **Q4 2029:** (53.464444 + 53.523335 + 55.131737 + 57.375615) x 9 x1000 /67,884.099077 = **29.100426 CNY/share**. Window: Q4 2029 through Q3 2030.
- **Q1 2030:** (53.523335 + 55.131737 + 57.375615 + 59.908000) x 9 x1000 /67,884.099077 = **29.954705 CNY/share**. Window: Q1 2030 through Q4 2030.

10. Annual trajectory cross-check

Calendar year	Revenue	GP / contribution	Opex	OP	OP margin
2027	589.471	466.616887	24.974964	441.641923	74.9218%
2028	629.294	410.107040	30.630685	379.476355	60.3019%
2029	679.118	354.721841	36.258019	318.463822	46.8938%
2030	779.941	372.423529	41.882353	330.541176	42.3803%

These are calendar-year sums of the quarterly path, not extra revenue and not the live valuation method. For non-December fiscal reporters, fiscal guidance and these calendar totals must be aligned using the period mapping above; a four-quarter run rate is not automatically the same fiscal year. Outer-year outputs are conditional TAM/capture trajectories, not verified management sales targets.

2030 DDR410B+LPDDR347B+the four modeled Other quarters gives the annual total below. Against5346.6B market envelope, this requires roughly14.6% revenue share. The assumption is substantial and can fail if market size, product access or capture disappoint. Unit-level volume/ASP calibration is limited by disclosure.

11. Dilution sensitivity - same operating case

Denominator sensitivity	Q4 2027 shares M	Q4 2027 ceiling CNY	Effect on ceiling
-5% shares	64,489.894123	40.137240	5.26%
0% shares	67,884.099077	38.130378	0.00%
5% shares	71,278.304031	36.314646	-4.76%
10% shares	74,672.508985	34.663980	-9.09%

This isolates denominator uncertainty; it is not a second bull/bear operating case or permission to remove known dilution. The base case remains the explicit share path in the rolling table.

12. Programme and probability ledger

G5 manufacturing economics and active Rule16b contribution

CXMT's September20 primary G5 announcement, also available in Mandarin, reports mass production,11.95nm active-area half-pitch and at least50% higher gross dies per wafer than G4, normalized to an8Gb density baseline. Its two24Gb LPDDR5X products are in mass production. The reported milestone is a100%-recognized source fact; the modeled future earnings realization probability is separately60%.

Chinese DRAM Giant Making Waves Since IPO

Category	Highlight	Details
Capital & Growth	IPO	Listed on Shanghai's STAR Market in July, **China's largest chip IPO** ($8.5B) to date
	Market Share Surge	ranked **4th** in global DRAM sales in 2Q26, with its share rising to **9.5%** from 7.6% QoQ (TrendForce)
	Aggressive DRAM Expansion	New Shanghai and Hefei fabs to **double capacity to 600K+ wafers/month**; second Beijing fab reportedly under consideration

TrendForce original CXMT infographic, posted October12 Asia / October11 Toronto. Separates September G5/LPDDR milestones from the October10 4F² server-memory roadmap. GrossDPW and nominal wafer capacity are not saleable output. Original exhibit, panel 1 of 2; read from top to bottom.

	Potential NAND Entry	A NAND R&D line reportedly planned at a new plant near Beijing
Product Milestone	**LPDDR6 Mass Prod.**	In mass production since Sept. debuts in **Xiaomi 18 Fold**
	G5 DRAM Platform Mass Prod.	In mass production (Sept): SAQP patterning, 11.95nm half-pitch, 50%+ more dies/wafer vs. prior generation
	4F² DRAM architecture Unveiled	Denser vertical-transistor design for **servers**: **DDR5 RDIMM due by year-end**, reportedly ~2 years ahead of Samsung

Source: Nikkei, Reuters, Yicai Global and Company Disclosures

NEWS of TrendForce

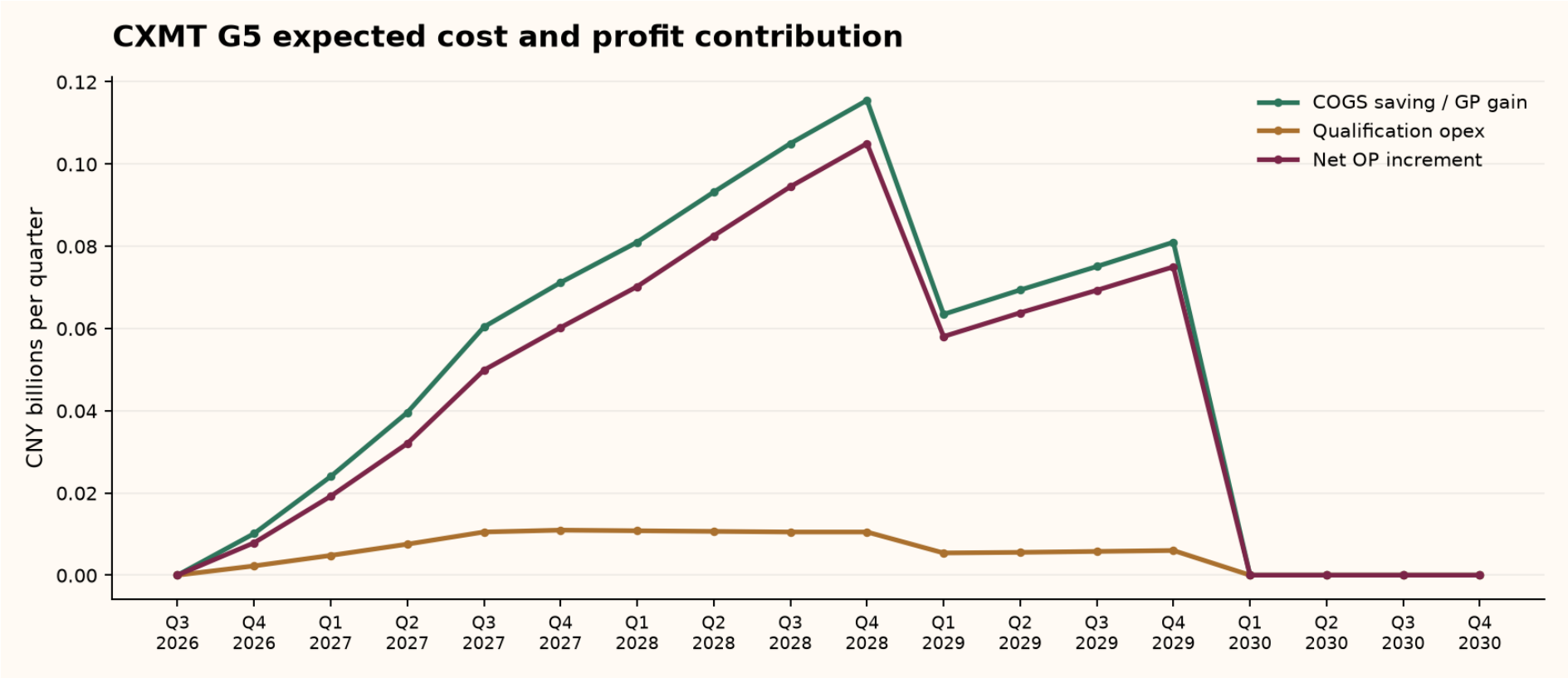
TrendForce original CXMT infographic, posted October12 Asia / October11 Toronto. Separates September G5/LPDDR milestones from the October10 4F² server-memory roadmap. GrossDPW and nominal wafer capacity are not saleable output. Original exhibit, panel 2 of 2; read from top to bottom.

The original September18 forecast already contains LPDDR6 adoption and broad volume/process migration. This branch changes only manufacturing costs in the existing LPDDR vector and retains every revenue/ASP/volume input. It gives no separate DDR, HBM,600K-wafer/month or4F² sales increment. Applying a50% scope-overlap reduction recognizes process benefits and qualification expenses already present in the reference margins and opex.

The bounded conditional assumptions are25% of LPDDR manufacturing COGS eligible for conversion,60% wafer-cost content,1.5x grossDPW,80% relative good-unit yield and1.1x processing cost per wafer. None of the cohort, cost or yield figures is company guidance. Effective cost per good unit is1.1/(1.5x0.8)=0.916666666667, giving a8.333333% wafer-cost reduction on the converted cohort. Conditional total LPDDR COGS saving is25%x60%x(1-0.916666666667)=0.012500000000, or1.25%. Existing fixed overhead and depreciation remain included; no second D&A deduction is made.

Conditional qualification/R&D costs equal0.05% of LPDDR revenue. For quarterly reference LPDDR revenue R and COGS C, expected GP gain=60%x50%xphase x1.25%C; extra opex=60%x50%xphase x0.05%R; expected OP gain is the difference. Avoided costs and added qualification expense are evaluated together in one coherent outcome, then weighted. Costs are inside the operating build, not a second haircut to the ceiling. Qualification expenses remain fully expensed.

Phase is0 inQ3 2026,25% inQ4 2026,50% inQ1 2027,75% inQ2 2027,100% fromQ3 2027 through2028,50% in2029 and0 in2030. This phasing is an analytical adoption/fade assumption. Later platform changes gradually subsume this generation-specific benefit. The result changes the activeQ4 2027 ceiling fromCNY38.101631035074 toCNY38.130378006258, or+0.07544814%. Revenue, shares, minority attribution, analytical67 and Excel67 are unchanged. The current owner multiple schedule governs the valuation shown here.



Probability-weighted G5 COGS saving, qualification expense and net operating-profit contribution. Analyst proxy with source-based grossDPW and explicit unknown costs/yields. Numerical table follows.

Quarter	Phase	LPDDR sales	Reference COGS	Expected GP gain	Extra opex	Net OP increment
Q3 2026	0%	56.000	10.080000	0.00000000	0.00000000	0.00000000
Q4 2026	25%	60.000	10.800000	0.01012500	0.00225000	0.00787500
Q1 2027	50%	64.000	12.800000	0.02400000	0.00480000	0.01920000
Q2 2027	75%	67.000	14.070000	0.03957188	0.00753750	0.03203438
Q3 2027	100%	70.000	16.100000	0.06037500	0.01050000	0.04987500
Q4 2027	100%	73.000	18.980000	0.07117500	0.01095000	0.06022500
Q1 2028	100%	72.000	21.600000	0.08100000	0.01080000	0.07020000

Quarter	Phase	LPDDR sales	Reference COGS	Expected GP gain	Extra opex	Net OP increment
Q2 2028	100%	71.000	24.850000	0.09318750	0.01065000	0.08253750
Q3 2028	100%	70.000	28.000000	0.10500000	0.01050000	0.09450000
Q4 2028	100%	70.000	30.800000	0.11550000	0.01050000	0.10500000
Q1 2029	50%	72.000	33.840000	0.06345000	0.00540000	0.05805000
Q2 2029	50%	74.000	37.000000	0.06937500	0.00555000	0.06382500
Q3 2029	50%	77.000	40.040000	0.07507500	0.00577500	0.06930000
Q4 2029	50%	80.000	43.200000	0.08100000	0.00600000	0.07500000
Q1 2030	0%	82.000	45.100000	0.00000000	0.00000000	0.00000000
Q2 2030	0%	85.000	46.750000	0.00000000	0.00000000	0.00000000
Q3 2030	0%	88.000	48.400000	0.00000000	0.00000000	0.00000000
Q4 2030	0%	92.000	50.600000	0.00000000	0.00000000	0.00000000

Rule16b field	Active decision
Signal and source	G5 mass production, issuerSeptember20; forwarded in the October12 TrendForce image. One source/event despite reposts.
Probability	60% future cost-benefit realization, distinct from the historical commercial milestone.
Conditional bound	20-30% eligible cohort,50-70% wafer-cost content,75-90% relative yield and5-15% wafer-processing cost increase are diagnostic brackets; selected values appear above. GrossDPW stays1.5x.
Reference	Existing LPDDR product margins, migration and qualification costs retained as the no-increment control.
Overlap	50% of incremental cost and qualification exposure removed for prior process/mix assumptions. No independent output-density revenue increment.
Cost and recognition	Shipment-linked manufacturing saving with additional fully expensed qualification/R&D; preserve fixed costs and depreciation.
Model cells	G5 controlsB108:B116, quarterly ledgerA122:K139, LPDDR marginsF58:F75 and GP G58:G75, opexN17:N34 and attributable F4Q/ceilingsG17:G31/L17:L31.
Raise / reduce	More qualified G5 production and comparable cost/yield evidence raise weight/cohort; yield deterioration, SAQP expense or delayed adoption reduce them. Do not apply a probability to all earnings.

4F² server-memory roadmap and competitive counter-evidence

The October10 conference remarks relayed by TrendForce/SCMP describe a year-end2026 server-DDR5 RDIMM launch based partly on4F²/VSG and hybrid bonding. Assign65% to a technical/product introduction and35% to meaningful incremental server penetration byH2 2027. These outcomes are related, not probabilities to multiply. Original full company/conference materials and qualified volume remain unresolved.

At equal feature size,6F² to4F² permits1.5x ideal cell density and one-third lower cell area. That excludes peripheral area, additional bonding wafers, throughput and good-unit yield. The image's9.5% share is DRAM revenue share, not wafer or bit share;600K wafer/month is nominal capacity. G5's50% grossDPW,4F² cell density and nominal expansion are correlated supply mechanisms and are not multiplied as independent revenue shocks.

The attempted company proxy uses converted server wafer cohort x reference good bits x net density/yield, less displaced current DDR output, then accepted volumes x realizedASP minus wafer/bonding/qualification costs and minority claims. The source does not identify the converted cohort, delivery/acceptance ramp or price/cost relative to the model's existing DDR growth. The current DDR forecast already reaches82B quarterly sales inQ4 2027 from55B inQ3 2026 and includes server mix/process migration. After this bounded cohort attempt, the additional4F² revenue and OP increment is zero for unidentified timing/exposure and overlap, not for lack of official confirmation. Track the original remarks, qualified server customer cohort and per-good-unit cost; the source remains reviewed with a precise model-evidence gap.

The same competitive event applies once to Samsung, SK hynix and Micron. It can shorten scarcity duration when qualified output actually displaces their product/customer cohorts; it is not immediate HBM substitution. Their existing supply-response normalization remains relevant. No competitor price elasticity or market-share loss is invented from the architecture announcement.

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
LPDDR6	E4;95% commercialization confidence	No disclosed shipment count	Embedded in LPDDR path	Track customers and attributable revenue
HBM	E2;unquantified	No confirmed commercial units	No separate HBM vector	Attempt bounded accepted-output and cost proxy from credible evidence; current cohort remains unidentified
Apple opportunity	E2;not confirmed	No contract value	No incremental revenue attributed to Apple	Need attributable procurement/cohort evidence; credible forward signals can be modeled before confirmation

Probabilities are analyst judgments under the framework signal hierarchy. Embedded revenue is not multiplied or added a second time. Where no defensible amount or unit base exists, the opportunity remains explicitly unquantified; confidence alone cannot create a revenue number. New evidence can enlarge the TAM, improve capture or move recognition earlier, but each requires an identifiable model input.

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Memory pricing cycle	-1	New supply or weaker AI demand reduces ASP and margin.
Technology and yield	-1	Commercial LPDDR6 does not prove HBM readiness or all-node cost parity.
Equipment and policy	-1	Tools, spares and customer access can be restricted.
Capex and depreciation	-1	Heavy investment may precede cash returns and worsen downturn economics.
Minority ownership and dilution	-1	Consolidated capacity is not fully attributable to listed shareholders.

14. Dated catalysts, counters and escalation

1. **Q3 results2026 - Actual-to-model test** Reconcile product margins, OP and minority earnings.
2. **2027 - Supply response** Track bits and realized ASP separately; preserve downside from lower prices.
3. **Each project update - Ownership and technology** Reconcile funded expansion, qualification and economic interest before assigning new profits.

15. Cross-book monitoring

CXMT can add meaningful competitive supply to MU, SK hynix and Samsung; a cost disadvantage would not logically prevent it from expanding or competing on price. Domestic equipment companies benefit only from actual orders. NAND-focused SNDK has a more indirect exposure through shared capex and memory demand.

16. Source register and model limits

E1 - CXMT H1 report (2026-08-29). Financial statements, product costs, subsidiary minorities and Omdia market forecast.

E2 - H1 management results Q&A (2026-09-07). Management answers on pricing, product progress, depreciation, customers and capital expenditure.

E3 - IPO management investor discussion (2026-07-15). Capacity strategy, customer base and cycle risks; IPO event rather than a second quarterly earnings call.

E4 - CXMT announces LPDDR6 mass production (2026-09-07). Commercial debut in Xiaomi18Fold; no shipment volume or product-profit forecast supplied.

E5 - Completed overallotment filing (2026-08-27). Total issued shares increase to67,884,099,077.

E6 - CXMT primary G5 mass-production announcement, September20,2026; Mandarin version. GrossDPW at least50% higher than G4 on an8Gb-normalized baseline;24Gb LPDDR5X, mass production. Original HTML preserved in the source register with a content hash. All incremental cost/yield/cohort assumptions are analytical.

E7 - TrendForce October12,2026 CXMT4F² article. Relays named conference remarks, with partial-implementation/volume-qualification counter-evidence. Original source image embedded in section12. One underlying event with SCMP.

Quarterly bits, realized ASP by product, subsidiary-level operating profit and numerical future guidance are unavailable. Outer-year margin normalization is an analyst path, not a dated prediction. The large2030 DRAM forecast cited in the issuer report includes segments CXMT may not address; it is a market envelope, not a revenue entitlement.

Workbook: v3_2_master_portfolio.xlsx, model tab 688825_SH_Q_Model. The production master v3_2_master_portfolio.xlsx owns the linked quarterly model and portfolio ranking. The original source workbook is historical.

Current artifact path: G:\My Drive\1amInvesting\Artifacts\CXMT_688825SH_DeepDive_Q1_2026.md.

Original snapshot: versions/originals/CXMT_688825SH_DeepDive_Q1_2026.md. Superseded history is retained separately in VERSION_LOG, not in this current-state model.